Sample Papers

	MIDTERM EXAMINATION SPRING 2007 ECO402 - MICROECONOMICS (Session - 6)	Marks: 40 Time: 90min

StudentID/LoginID: ______________________

Student Name: ______________________

Center Name/Code: ______________________

Exam Date: Saturday, May 12, 2007

Please read the following instructions carefully before attempting any question:

- All questions are compulsory.
- This exam consists of **10** Multiple Choice Questions (MCQs) of **1** mark each, **5** fill in the blanks of **1** mark each, **3** Short questions of **5** marks each and one Descriptive question of **10** marks.
- For each Multiple Choice Question, read the options available and select which you consider are the correct one.
- You are required to show all the working of short as well as practical question.
- Use of calculator is allowed.
- This examination is closed book, closed notes and closed neighbors.
- Do not ask question about the contents of this examination from anyone.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event

For Teacher's use only											
Question	1	2	3	4	5	6	7	8	9	10	Total
Marks											
Question	11	12	13	14	15	16	17	18	19		
Marks											
Question											
Marks											

Question No: 1 (Marks: 1) - Please choose one

What does it mean when the consumer price index (CPI) is higher this year than last?

- ► The rate of inflation has increased.
- ► There has been inflation since last year.
- ► Real prices have increased.
- ► Real prices have decreased.

Question No: 2 (Marks: 1) - Please choose one

Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?

- ► Preferences are complete.
- ► Preferences are transitive.
- ► Consumers prefer more of a good to less.
- ► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

If indifference curves cross, then:

- ► The assumption of a diminishing marginal rate of substitution is violated.
- ► The assumption of transitivity is violated.
- ► The assumption of completeness is violated.
- ► Consumers minimize their satisfaction.

Question No: 4 (Marks: 1) - Please choose one

Which of the following is true concerning the income effect of a decrease in price?

- ► It will lead to an increase in consumption only for a normal good.
- ► It always will lead to an increase in consumption.
- ► It will lead to an increase in consumption only for an inferior good.
- ► It will lead to an increase in consumption only for a Giffen good.

Question No: 5 (Marks: 1) - Please choose one

Assume that two investment opportunities have identical expected values of $100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity

- ► A because it has less risk.
- ► A because it provides higher potential earnings.
- ► B because it has less risk.
- ► B because of its higher potential earnings.

Question No: 6 (Marks: 1) - Please choose one

When the average product is decreasing, marginal product

- ► Equals average product.
- ► Is increasing.
- ► Is decreasing.
- ► Is less than average product.

Question No: 7 (Marks: 1) - Please choose one

The law of diminishing returns applies to

- ► The short run only.
- ► The long run only.
- ► Both the short and the long run.
- ► Neither the short nor the long run.

Question No: 8 (Marks: 1) - Please choose one

The rate at which one input can be reduced per additional unit of the other input, while holding output constant, is measured by the

- ► Marginal rate of substitution.
- ► Marginal rate of technical substitution.
- ► Slope of the isocost curve.
- ► Average product of the input.

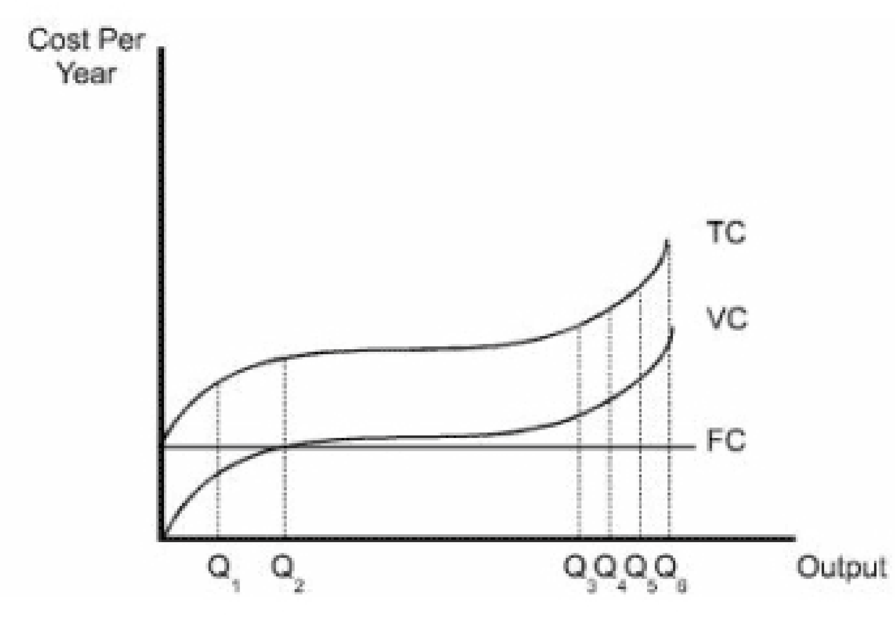
Question No: 9 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in

- ► Output.
- ► Capital expenditure.
- ► Wages.
- ► Time.

Question No: 10 (Marks: 1) - Please choose one

The diagram below contains _____ cost curves.



- ► short run
- ► Intermediate run
- ► long run
- ► Both short run and long run.

Question No: 11 (Marks: 1)

The ______________shows the possible combination of goods and services available in an economy.

Question No: 12 (Marks: 1)

Generally ________is a measure of the sensitivity of one variable to another.

Question No: 13 (Marks: 1)

A ____________indicates all combinations of two commodities for which total money spent equals total income.

Question No: 14 (Marks: 1)

The market demand will shift to the________as more consumers enter the market.

Question No: 15 (Marks: 1)

Actual expenses plus depreciation charges for capital equipment is known as_______________.

Question No: 16 (Marks: 5)

Define utility. Differentiate between ordinal and cardinal utility function; which one is better? (1+3+1)

Question No: 17 (Marks: 5)

(a) Differentiate between risk averse and risk loving people.
(b) How consumer can attempt to reduce risk? (3+2)

Question No: 18 (Marks: 5)

a. **Define elasticity of demand. What are the two extreme case of elasticity of demand?**
b. **Define cross elasticity of demand; also write down its formula. What will be the cross elasticity of demand for substitutes and for complements. (2+3)**

Question No: 19 (Marks: 10)

Define a market basket.Onwhich assumptions consumers preferences are based? Why an indifference curve is convex to origin.(2+6+2)